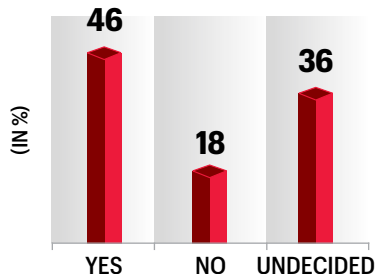
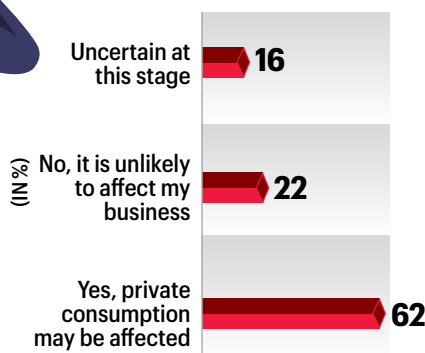




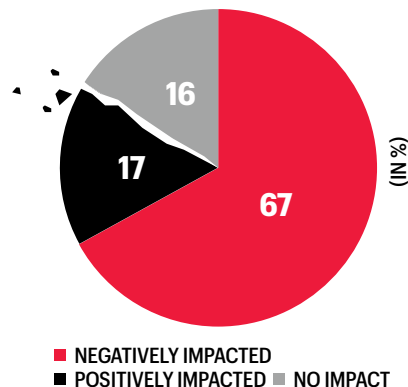
Given higher energy and raw material costs, are you considering passing on price increases to consumers?



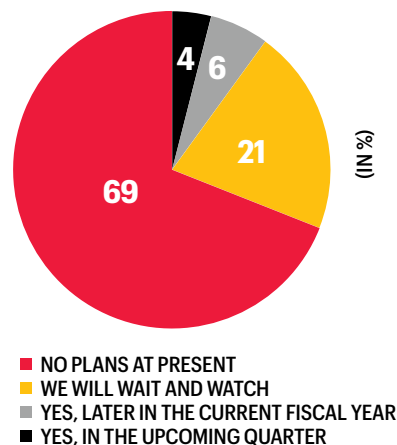
Do you expect a deficient monsoon to affect your business?



Has the depreciation of the rupee impacted your business?



Are you planning any capital investments this fiscal year?



As many as 73% of respondents believe that geopolitical tensions and weak monsoon would impact the country's economic prospects this fiscal, and 62% feel that a deficient monsoon would impact their businesses as private consumption would be affected.

No wonder capital investment plans by India Inc also seem to be on hold. When asked if they are planning any capital investments this fiscal, 69% of respondents said they had no such plans at present, while 21% are in a wait-and-watch mode. Only 4% of respondents are planning investments in Q2, and 6% later in the current year.

A big shift in the current unpredictable environment is unlikely in the immediate future. However, there are expectations that this will spur the government to implement more reforms as it tries to bring foreign investor interest back to India.

Plus, the operationalisation of several of India's trade agreements may bring new opportunities, while the interim trade pact with the US—if it is finalised—would lift sentiments as well. The free trade pact with Oman that came into effect on June 1 has already opened new routes and ports for India's exports to West Asia and other parts of the world. Now, the operationalisation of the UK trade deal on July 15 will also bring a new market for Indian goods and services.

Hopes are pinned on Q3 being better as it ushers in the traditional festive season that sees higher demand and leads to more production and hiring by companies and fires up the economy's growth engines.

But for now, it is still red alert! **BT**

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